

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

NIELSEN & BAINBRIDGE, LLC, *Complainant*

v.

DOCKET NO. 25-02

OCEAN NETWORK EXPRESS PTE. LTD.; ORIENT OVERSEAS CONTAINER LINE LIMITED; OOCL (EUROPE) LIMITED; EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC AGREEMENT No.011982); EVERGREEN MARINE CORPORATION (TAIWAN) LTD.; EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA; EVERGREEN MARINE (HONG KONG) LTD.; EVERGREEN MARINE (SINGAPORE) PTE. LTD.; AND YANG MING MARINE TRANSPORT CORPORATION, *Respondents*.

Served: December 31, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER SEVERING CASES AND INITIATING DISCOVERY

I. Procedural History

On January 8, 2025, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding.

On January 23, 2025, Respondents Orient Overseas Container Line Limited, and OOCL (Europe) Limited (collectively, “OOCL”), filed a Motion to Sever and Motion for a More Definite Statement “OOCL MTS”).

On February 1, 2025, Respondent Ocean Network Express PTE. Ltd (“ONE”) and Complainant Nielsen & Bainbridge, LLC (“NBG”) filed a Joint Motion for Extension of Time (“EOT Motion”). ONE’s response to the Complaint was due on February 3, 2025. The joint motion sought to extend the time “within which ONE may file its responsive pleadings to February 17, 2025, and that NBG be allowed until February 13, 2025, to file any opposition it may have to [OOCL’s and ONE’s] motions to sever and for a more definitive statement...”

On February 3, 2025, Respondent ONE filed a Motion to Sever and Motion for a More Definitive Statement (“ONE MTS”).

Also on February 3, 2025, Evergreen Line Joint Service Agreement (FMC Agreement No. 011982); Evergreen Marine Corporation (Taiwan) Ltd.; Evergreen Marine (UK) Limited,

Italia Marittima SPA; Evergreen Marine (Hong Kong) Ltd.; Evergreen Marine (SINGAPORE) Pet. Ltd. (collectively, “Evergreen”); and Yang Ming Marine Transport Corporation (“Yang Ming”), filed a joint answer to the complaint.

On February 17, 2025, NBG filed an opposition to OOCL’s and ONE’s motions (“Opposition”). On February 20, 2025, OOCL filed a reply, arguing that its motion to sever, if granted, would make it a dispositive motion.

On June 18, 2025, an Order on Motions to Sever and Motions for a More Definite Statement (“1st Order on Severing”) issued, deferring the motions to sever, denying the motions for a more definite statement, rejecting OOCL’s reply brief, and ordering the parties to file supplemental briefs on the issue of whether Respondents should be severed from one another or should be grouped in some manner, such as membership in a recognized alliance. NBG, OOCL, and ONE filed supplemental briefs supporting their respective positions, as detailed further below.

On August 15, 2025, Complainant filed a Motion for Leave to Initiate Discovery or, in the Alternative, to Schedule a Status Conference (“Motion for Discovery”). In the motion, Complainant asserts that while the above motions have been pending, it has “complied with its initial discovery obligations, serving its Initial Disclosures on February 10, 2025” yet Respondents have not consented to a discovery plan, a joint status conference, or to discuss ESI search terms or custodians of documents. Motion for Discovery at 2. NBG asserts that substantial delay has already occurred because ONE and OOCL have pursued motions to sever.¹ Moreover, because NBG is “a bankrupt entity...and is currently incurring substantial recurring expenses to preserve and host data so it can comply with its own discovery obligations” further delay in this matter will result in greater prejudice. *Id.* at 3. In addition, “the passage of time is likely to lead to further erosion of memory and availability” of former employees. *Id.* Absent an order that Respondents initiate discovery, NBG requests a status conference to discuss a discovery schedule.

On August 22, 2025, Respondents ONE and OOCL filed responses to NBG’s Motion for Discovery; Evergreen and Yang Ming did not.

On December 16, 2025, NBG filed a Motion to Schedule a Status Conference and Respondents’ Opposition (“Motion for Conf”), seeking a status conference to discuss the pending motions. ONE and OOCL oppose the motion stating that it is premature and inefficient to have a status conference prior to an order addressing the outstanding motions. Respondents Evergreen and Yang Ming join with ONE and OOCL.

II. Summary of Findings

For the foregoing reasons, both motions to sever are **GRANTED**. Evergreen and Yang Ming filed a joint answer and did not file a supplemental brief pursuant to the previous order and will remain in the current case. Because they filed an answer and did not seek leave to postpone

¹ As stated in the June 18, 2025, order, motions to sever are not dispositive motions. See *Garrett v. Stirling*, et al., 2018 WL 4403388 *4 (D.S.C 2018) (district court cited Fed. R. Civ. P. 72(a) regarding its “clear error” standard of review of magistrate judge’s pretrial non-dispositive order severing cases).

the initiation of discovery, or respond to NBG's Motion for Discovery, Evergreen and Yang Ming are **ORDERED** to meet with the Commission's Office of Consumer Affairs and Dispute Resolution Services and confer with NBG as required by 46 C.F.R. § 502.141(g), and submit a joint status report (with NBG) with proposed discovery schedule, by January 13, 2025. ONE and OOCL are **ORDERED** to file their responses to the Complaint by January 13, 2025. When answering paragraphs that are not applicable to a Respondent because they exclusively pertain to or solely reference another carrier, it is sufficient to respond "not applicable" or "N/A."

III. Discussion

A. Arguments of the Parties

1. Arguments Regarding Severing

OOCL contends that Complainant's claims against it should be severed from the claims against all other Respondents and should not be grouped by carrier alliances. OOCL Supp. Brief at 2. While it acknowledges that it is a member of an alliance with Evergreen, another Respondent named in the complaint, it states that "[e]ach carrier in the Ocean Alliance...make[s] their own commercial decisions about how to price and allocate their space, they do not contract or deal jointly with shipper customers like NBG." *Id.* OOCL quotes from the Ocean Alliance Agreement (FMC Agreement No. 012426 ¶ 5.2(b)) to further support its position that the alliance should not be considered an appropriate grouping for this Shipping Act litigation:

Nothing in subparagraph (a) herein authorizes the Parties to exchange information on freight rates, prices, tariff items, confidential service contract terms or conditions, individual customer lists, individual marketing plans or proposals, or individual bids.

Id. at 2.

Similarly, OOCL asserts that the "members of an alliance are prohibited from discussing detention and demurrage charges and practices between each other." *Id.* at 3. Moreover, each member "must set its own DD rates, free time periods and rules regarding free time." *Id.* Further, if Evergreen and OOCL are joined as respondents, discovery regarding their confidential commercial information would require complex protective orders to avoid "an information exchange otherwise forbidden to the parties [of the Ocean Alliance]." *Id.* at 4.

ONE asserts in its supplemental brief that proceedings against it should not be grouped by alliance membership because it will prejudice and "unreasonably burden ONE with: hosting and reviewing another Respondent's documents at a substantial additional cost; attending unnecessary depositions of another Respondent; and seeking extensive protections, pursuant to [FMC] Rule 502, to keep confidential business sensitive materials away from other Respondent." ONE Supp. Brief at 2.

NBG continues to oppose the motions to sever and contends that because "overlapping facts are abundant" the Respondents should remain grouped as NBG alleged in the complaint. NBG Supp. Response at 6-7. Those overlapping facts include that Evergreen and Yang Ming

retained the same counsel and filed a joint answer although they are not in the same alliance, which NBG contends demonstrates efficiency in joint representation; all Respondents engaged in the same unreasonable practice of failing to satisfy their service agreements; reparations may best be assessed by apportioning fault; three of the Respondents allegedly imposed “extracontractual charges” in order to assure carriage; and all of the allegations “arise from industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have joint ships and operations....” *Id.* at 6-7. In the alternative, NBG argues that if the cases are severed, they should be coordinated for discovery, “particularly with regard to testimony and expert reports, and for calculation of reparations.” *Id.* at 7. NBG notes that there are two alliances in which some of the Respondents participate, and Yang Ming and Evergreen, who jointly filed an answer to the complaint, are not in the same alliance. *Id.* at 8.

2. Arguments Regarding Initiating Discovery

NBG asserts that discovery should be initiated because the complaint was filed on December 31, 2024, and “(1) further delay of discovery will interfere with the prompt adjudication of this proceeding and (2) further delay will prejudice NBG.” Motion for Discovery at 3. In support of the motion, NBG notes that the Initial Decision in this matter is due in January 2026, and since all Respondents have refused to “meet and confer about the basic parameters of discovery,” it is “unavoidable” that neither the Initial Decision or the Commission’s decision will be issued within the time stated in the Notice of Filing of Complaint and Assignment. *Id.* NBG also asserts it will be prejudiced by further delay and witnesses’ memories will erode over time. In the alternative, NBG seeks a status conference.

OOCL contends that NBG failed to confer with it prior to filing the non-dispositive motion, and as a result, failed to include statements that it conferred or attempted to confer with Respondents, and that the motion was opposed. Orient Overseas Container Line Limited, and OOCL (Europe) Limited’s Opposition to Nielsen & Bainbridge, LLC’s Motion for Leave to Initiate Discovery (“OOCL Opp to Initiate”) at 1-2 (citing 46 C.F.R. 502.69(a); 502.71(a)). OOCL asserts that the FMC Rules do not authorize the start of discovery prior to the filing of an answer, proposed schedules are submitted, and a discovery schedule is ordered. *Id.* at 2. It further asserts that it is not practical to begin discovery prior to the cases being severed, as was indicated was likely in the 1st Order on Severing. OOCL maintains that any prejudice to NBG is because it failed to voluntarily dismiss “its omnibus action against Respondents herein to commence actions against each respondent individually and sought discovery in the usual course.” OOCL Opp at 4. Finally, OOCL argues that a status conference is not warranted when an order on severing is pending.

ONE asserts in its opposition to the motion that discovery would be premature, NBG is no more prejudiced than other parties, and it has been cooperative but active discovery is premature. ONE cites to a portion of the 1st Order on Severing where I noted that NBG would be required to amend the complaint and specify damages attributable to each Respondent after the cases are severed as further support for its argument that is premature to start discovery. I denied the motions for a more definite statement as premature and did not order Complainant to amend the complaint.

B. Motions to Sever

1. Authority

The 1st Order on Severing discussed the basis in the Federal Rules of Civil Procedure (“Fed. R. Civ. P.” or “FRCP”) and case law for severing claims or parties. To summarize, rather than restate, severing and joinder are not explicitly addressed in the Commission’s rules, so in the interest of sound administrative practice, the Federal Rules of Civil Procedure will be followed. 46 C.F.R. § 502.12. Courts have discretion under FRCP 21 to add or drop a party or sever a claim against a party. Fed. R. Civ. P.21; *Oceans v. United States Department of the Interior*, 2024 WL 1556005, at *2 (D.D.C. 2014), quoting *Alexander v. Edgewood Mgmt Corp.*, 321 F.R.D. 460, 463 (D.D.C. 2017); *see also* 7 Charles Alan Wright, Arthur R. Miller & Mary Kay Kane, Fed. Prac. & Proc. Civ. § 1689 (3d ed. 2018). FRCP 20 provides guidance on the permissive joinder of parties, which in turn has led courts to consider multiple factors in determining motions to sever:

In making this determination, courts consider multiple factors, including: (1) whether the claims arise out of the same transaction or occurrence; (2) whether the claims present common questions of law or fact; (3) concerns related to judicial economy, multiplicity of litigation, and orderly and efficient resolution of disputes; (4) the availability of witnesses and other evidentiary proof; and (5) the potential for confusion, undue delay, or prejudice to any party.

M.M.M. on behalf of J.A.A. v. Sessions, 319 F.Supp. 3d 290, at 295 (D.D.C. 2018) (citations omitted). The two factors primarily raised and relied on by ONE and OOCL—numbers (1) and (5)—are discussed in greater detail below, but I find that all five factors weigh in favor of severing ONE and OOCL from the current proceeding.

2. Same Transaction or Occurrence

NBG urges me to find that the industry-wide congestion during the Covid-19 pandemic and the alleged similar actions taken by all the Respondents constitute a common nucleus of operative facts that satisfies the first factor. I do not agree. As I found in the 1st Order on Severing, NBG’s claims do not arise out of the same transaction or occurrence. The transactions or occurrences are “attempted bookings of cargo space with different carriers on different dates and at different ports over a period of months, and detention and demurrage charges assessed for different reasons, on different shipments occurring on different dates, at different ports, and over a period of months...” 1st Order on Severing at 5. The first factor weighs heavily in favor of severing, and without claims that arise out of the same transaction or occurrence, the remaining factors are of little consequence. This same reasoning applies to severing ONE and OOCL into separate proceedings; the denial of space and the assessment of detention and demurrage charges pursuant to individual service contracts are not common transactions “even if the alleged injuries are similar.” *Kaul v. Fed’n of State Med. Boards*, No. 19-CV-3050 (TSC), 2020 WL 7042821 at*8 (D.D.C. Dec. 1, 2020).

It is unclear what NBG’s citations to complaints filed in other cases are meant to support, but they do not support keeping the Respondents joined in this proceeding. NBG Supp. At 6. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha, Wallenius Wilhelmsen Logistics AS, Eukor Carriers Inc.*, Docket No. 15-08 (FMC 2015) (where complainant alleged several

respondents conspired to overcharge for services), was settled, and no findings were made that respondents conspired and no motion to sever was entertained. In *Century Metal Recycling PVT. LTD. v. Dacon Logistics, LLC dba CODA Forwarding, Great American Insurance Company, Avalon Risk Management, Hapag Lloyd America, Inc. and Mitsui OSK Lines*, Docket No. 12-09 (FMC 2012), all respondents except Dacon “settled the claims against them, and were dismissed from the proceeding.” *Id.* at 2 (ALJ April 17, 2023) (Order for Complainant to Supplement Motion for Default; Order for Respondent Dacon to Respond and to Show Cause). Moreover, default judgment issued against Dacon for failing to respond to the complaint; no joinder or severance issue was raised.

Accordingly, I find that the claims against ONE and OOCL do not arise from the same transaction or occurrence, so this factor supports severing them from the instant proceeding into separate proceedings.

2. Prejudice

ONE and OOCL argue that they would be prejudiced by remaining co-Respondents or by being grouped with other Respondents based on their alliances.

Specifically, ONE asserts it would be prejudiced by being grouped with any other alliance members because it would be burdened with:

hosting and reviewing another Respondent’s documents at a substantial additional cost; attending unnecessary depositions of another Respondent; and seeking extensive protections, pursuant to Federal Maritime Commission...Rule 502, to keep confidential business sensitive materials away from other Respondents.

Respondent Ocean Network Express PTE. Ltd.’s Supplemental Reply on Severance of Claims (“ONE Supp”) at 2.

OOCL asserts that while it is a member of Ocean Alliance, each carrier in the alliance “make[s] their own commercial decisions about how to price and allocate their space; they do not contract or deal jointly with shipper customers like NBG.” OOCL Supplemental Brief in Further Support of Motion to Sever (“OOCL Supp”) at 2. Citing to the Ocean Alliance Agreement on file with the Commission, OOCL notes that the alliance members are not authorized “to exchange information on freight rates, prices, tariff items, confidential service contract terms or conditions, individual customer lists, individual marketing plans or proposals, or individual bids.” OOCL Supp. At 2-3, citing FMC Agreement No. 012426 at ¶ 5.2(b).

NBG argues that it would be prejudiced by the increased costs of litigating several separate cases. It requests that if the claims are severed, they be managed together for purposes of expert reports, depositions, and reparations. While some discovery may be amenable to consolidated treatment as the cases progress, as stated in the previous order,

...entitlement to reparations on a shipment-by-shipment basis militates against lumping together all detention and demurrage charges assessed by different Respondents on different days at different times and involving different ports—a shipment-by-shipment analysis will be necessary to prove that each Respondent is

responsible for the charges they assessed. Similarly, the reasons given for refusing to allocate space on any given sailing will be specific to the Respondent and the date and time requested, as well as the port and other potential considerations.

Order on Motions to Sever and Motions for a More Definite Statement at 5, n. 1.

I find that this factor weighs in favor of severing the cases. The prejudice to ONE and OOCL in terms of managing complex protective orders to segregate confidential business documents and testimony is greater than the prejudice to NBG in pursuing three separate proceedings that can be coordinated for some discovery. While apportioning reparations among Respondents does not appear consistent with FMC case law, that is an issue NBG can raise later if it wishes to do so. NBG's argument that some discovery should be coordinated is reasonable and will alleviate some of the burden it faces litigating three separate proceedings. The specifics of how best to coordinate those parts of discovery that are amenable to coordination should be discussed and addressed first by the parties in their joint status reports and proposed discovery schedules.

C. Tolling Agreements and Statute of Limitations

In the supplemental briefing, NBG states that each Respondent signed a series of tolling agreements; NBG attached those agreements to establish that the complaint was timely filed as to the reparations it seeks. Complainant alleged the existence of the tolling agreements in the six and a half page "Introduction" section of the 66-page complaint. Complaint at 7. However, contrary to NBG's assertion that none of the Respondents raised timeliness as a defense, Evergreen and Yang Ming—the only Respondents to have filed a response to the Complaint—raised the statute of limitations as an affirmative defense. Complainant's Supplemental Brief in Response to Order on Motions to Sever and Motions for a More Definite Statement ("C Suppl.") at 3-4; Answer at 5, ¶ 17. As stated in *Streak Products* regarding raising the statute of limitations as an affirmative defense in the context of tolling agreements, moving forward "the burden is on [Respondents Evergreen and Yang Ming] to establish its applicability and the date on which the statute cuts off [Complainant's] claims." *Streak Products, Inc. v. Uti, United States, Inc.*, FMC Dkt. No. 13-04, 2013 WL 9808687 at *10 (ALJ Oct. 23, 2013).

D. Motion to Initiate Discovery

Evergreen Line and Yang Ming filed a joint answer to the complaint, did not file a motion for a more definite statement or a supplemental brief in support of ONE's and OOCL's motions to sever, and have not moved for any action by me. Upon further consideration and contrary to language in the 1st Order on Severing, since there is no motion before me, I find that Evergreen and Yang Ming must provide initial disclosures to NBG and abide by the Initial Order and confer with NBG on a joint status report and proposed discovery schedule. Since Evergreen Line and Yang Ming filed an answer, it is not necessary that NBG amend the Complaint at this time.

Moreover, and contrary to OOCL's response to NBG's motion to initiate discovery, FMC rules do not prohibit early discovery and given the short timelines for proceedings, that is encouraged. Since the two severed proceedings will be behind the current one in filing a joint

status report, ONE and OOCL are strongly urged to confer with NBG on ways to coordinate expert discovery and any other testimony that may apply to all three proceedings.

E. Order

It is requested that the Secretary assign Docket Number 25-30 to the severed case to be captioned Nielsen & Bainbridge LLC v. Ocean Network Express PTE. Ltd., and Docket Number 25-31 to the severed case to be captioned Nielsen & Bainbridge LLC v. Orient Overseas Container Line Limited, and OOCL (Europe) Limited. The caption of the current proceeding should be revised to remove ONE and OOCL/OOCL (Europe). The Secretary is also directed to place the Complaint from the instant proceeding into the two new dockets, and to notice the cases as having been filed with the Commission on January 8, 2025.

Based on all the above, it is

ORDERED that Ocean Network Express PTE. Ltd.'s motion to sever is **GRANTED**. It is

FURTHER ORDERED that Orient Overseas Container Line Limited, and OOCL (Europe) Limited's motion to sever is **GRANTED**. It is

FURTHER ORDERED that Complainant Nielson & Bainbridge's Motion to Initiate Discovery be **GRANTED IN PART** and **DENIED IN PART**; Complainant and Respondents Evergreen Line and Yang Ming must confer and submit a joint status report with proposed discovery schedule by January 13, 2026. It is

FURTHER ORDERED that Respondents Ocean Network Express PTE. Ltd. and Orient Overseas Container Line Limited, and OOCL (Europe) Limited file responses to the Complaint in their respective newly docketed proceedings by January 13, 2026, and to provide a joint status report with proposed schedule by January 23, 2026.

Discovery issues raised by NBG in its responses to the various motions, including coordinating depositions of witnesses who may provide testimony relevant to all three proceedings, will be addressed as they arise, but coordination is preferred, and the parties are encouraged to cooperate in that regard.



Linda S. Harris Crovella
Administrative Law Judge